CASCADIA ANALYTICS

INVESTMENT SCORECARD

MELI

MercadoLibre, Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$1834.0 [Mkt 16-Oct-26]

Market Cap: $93.0B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25. Margin compression is deliberate investment, not competitive erosion.

2. Recent Trend — 70

Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22% below its 52-week high. Great business, choppy stock.

3. Forward Growth — 92

Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% implied CAGR, and the trajectory supports it.

4. Valuation — 72

DCF base $2,795 implies 52% upside and the market prices only a 12% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes.

5. Catalysts & Risk — 72

Q3 earnings on Nov 4 with margin trajectory as the key debate; improving credit quality supports the fintech ramp. Risks: LatAm FX and macro (Argentina, Brazil), rising credit provisions, and a management team explicitly choosing investment over near-term profitability. Positive skew.

Investment Thesis

- **LatAm Ecosystem Leader:** Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call].
- **Growth at Scale:** Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock.
- **Margin Compression Is a Choice:** Op margin of 6.7%, down 550 bps, is deliberate reinvestment, not share loss [Q2 PR]. At $1,834 [Mkt 16-Oct-26] the market prices a 12% CAGR while our DCF base $2,795 needs ~22% and implies 52% upside. PEG of 1.01 agrees the market is underpricing it.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$10.17B [Q2 PR]	+49.8% [Q2 PR]	Up
GMV	$21.9B [Q2 PR]	+44% (+36% FXN) [Q2 PR]	Up
Total Payment Volume	$101.0B [Q2 PR]	+56% [Q2 PR]	Up
Credit Portfolio	$16.4B [Q2 PR]	+75% [Q2 PR]	Up
Operating Margin	6.7% [Q2 PR]	-5.5 pts [Q2 PR]	Down
EPS (Q2)	$9.19 [Q2 PR]	-10.9% [Zacks]	Down
Unique Active Buyers	89.3M [Q2 PR]	n/a [n/a]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$10.78B [10-K FY22]	$15.11B [10-K FY23]	$20.78B [10-K FY24]	$28.89B [10-K FY25]	$35.18B [10-Qs]
Net Margin	4.5% [10-K FY22]	6.5% [10-K FY23]	9.2% [10-K FY24]	6.9% [10-K FY25]	5.3% [10-Qs]
Free Cash Flow	$2.49B [10-K FY22]	$4.63B [10-K FY23]	$7.06B [10-K FY24]	$10.77B [10-K FY25]	n/a [n/a]

Valuation

Absolute (7/10)

P/E (fwd) 32.4x [Mkt 16-Oct-26]
DCF Base $2,795 [DCF model]
PEG 1.01 [Mkt 16-Oct-26]

PEG near 1.0 on 40%+ revenue growth; DCF implies 52% upside.

Versus Peers (6/8)

Sea Ltd 35.6x P/E [Finnhub]
Amazon 21.1x P/E [MarketWatch]

MELI trades above peers on trailing P/E but carries the lowest PEG of the three.

Versus History (5/7)

22% below 52wk high [Mkt 16-Oct-26]
P/E 46.6x TTM [Mkt 16-Oct-26]

Multiples elevated vs own history but the growth trajectory is intact.

Catalyst Timeline

Nov 4, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $9.34. The swing factor is operating margin vs the reinvestment pace, not revenue.

Q3-Q4 2026 [Q2 PR]
Margin Inflection (Positive): Op margin at 6.7%, down 550 bps YoY. Stabilization would re-rate the earnings trajectory.

Ongoing [Q2 PR]
Credit Quality (Two-Sided): Portfolio at $16.4B,

Top Risk Factors (Item 1A)

1. Deliberate Margin Compression: Op margin fell 550 bps YoY to 6.7% as management lowered take rates, raised marketing, and expanded logistics. The team says reinvestment will not slow, so near-term earnings stay compressed. [Q2 PR]

2. Credit Risk: Credit portfolio up 75% YoY to $16.4B with higher provisions. Delinquency improved to 7.0% but a LatAm downturn could spike bad debts quickly given the growth pace. [Q2 PR]

3. LatAm Macro and FX: Revenue, margins, and credit quality are all exposed to ARS/BRL/MXN

> +75% YoY. Delinquency improved to 7.0%; any deterioration would hit the fintech thesis.

What Would Change Our Score

Q3 earnings on Nov 4: the swing factor is margin trajectory vs the investment pace, not revenue. If op margins stabilize while GMV/TPV hold 30%+ FXN growth, the base case ($2,795) comes into play; credit deterioration or a LatAm FX shock would test the bear ($1,278).

swings. Argentina posted 38% FXN GMV growth but consumption there remains fragile. [Q2 PR]

4. Competition: Amazon and Shopee compete across the region. MercadoLibre leads on logistics and fintech integration, but price competition in commerce pressures take rates. [Q2 call]

Forward Growth Drivers

- GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers [Q2 PR]
- Mercado Pago TPV $101B (+56% YoY); credit portfolio $16.4B (+75% YoY) with improving delinquency [Q2 PR]
- Advertising +62% FXN, topping 10% of LatAm digital ad market for the first time [Q2 call]
- Brazil, Mexico, Argentina all growing double digits FXN; ecosystemic users 37% growth [Q2 PR]

Missing / Modified Data Log

- Country-level FX-neutral growth splits taken from earnings transcript summaries, not the primary filing.
- Five-year multiple history not sourced; history valuation scored vs 52-week range instead.
- Short interest and options flow not used in scoring.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.